

Lecture 14:

International Trade



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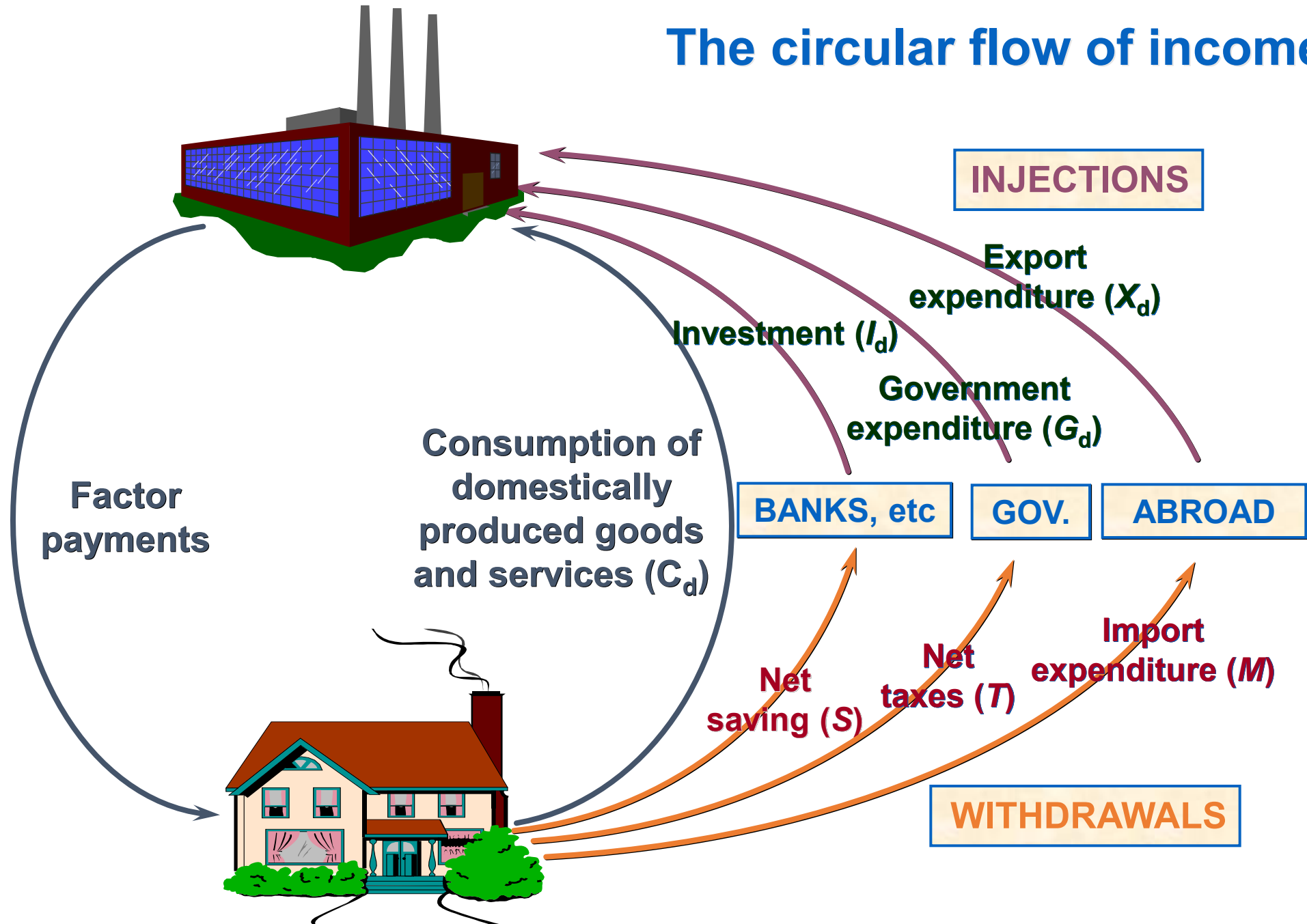
" When goods don't cross borders, soldiers will."
— *Frédéric Bastiat*



Lecture overview

- Trading Patterns
- The Advantages of Trade
- Arguments for Restricting Trade
- The World Trading System and the WTO

The circular flow of income



Measuring National Income and Output

The three ways of measuring GDP

1. The product method
 - measuring value added: GVA at basic prices
 - GDP at market prices
 - = GVA + taxes on products – subsidies on products
2. The income method
 - adding factor earnings
 - direct taxes; taxes and subsidies on products
3. The expenditure method
 - $C + G + I + X - M$

Introduction to International Trade

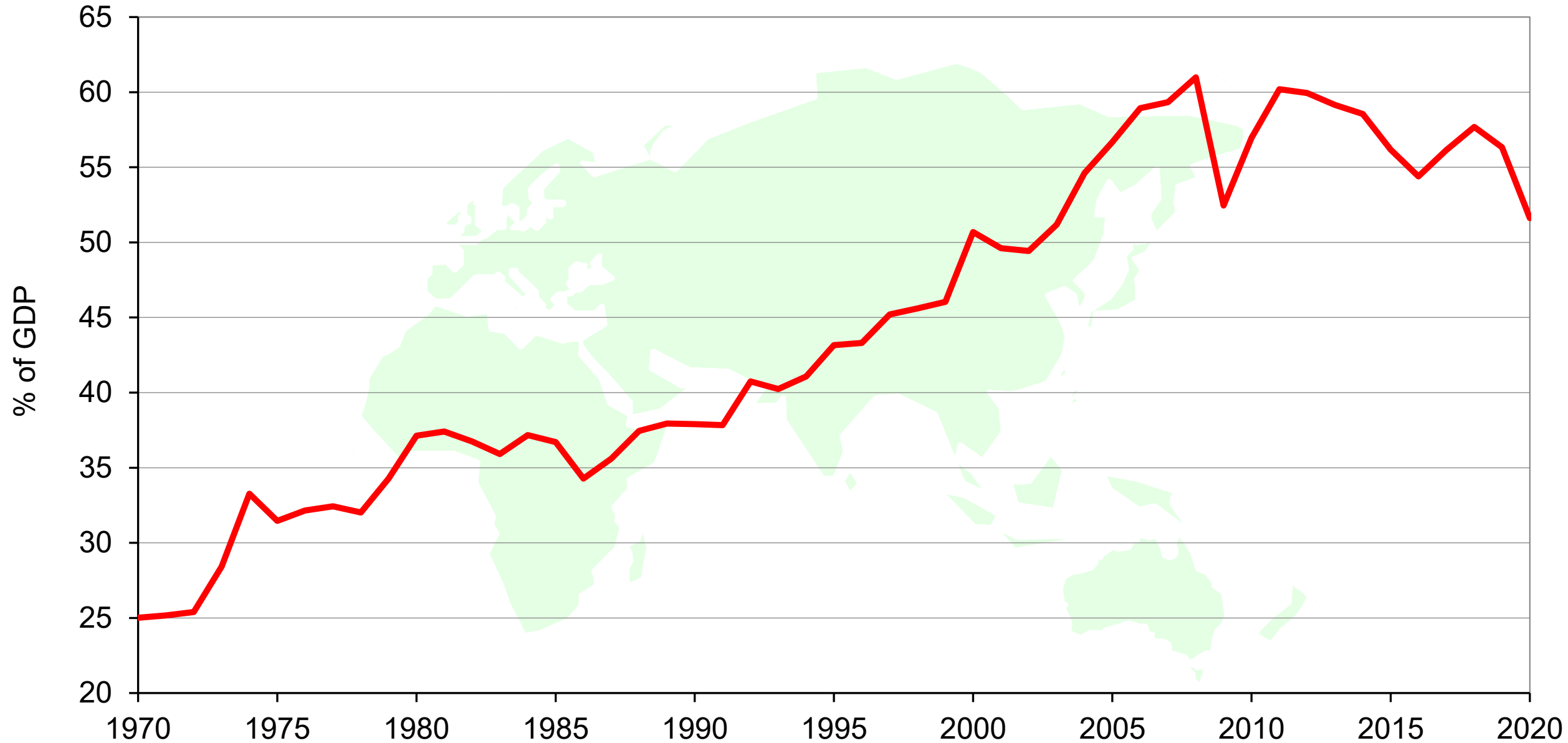


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- Without international trade, countries would be limited in what they can consume.
- Trade allows countries to access goods they cannot produce efficiently.
- All countries can benefit from international trade.
- However, totally free trade can have downsides for certain industries or groups.
- Protectionist arguments often come from industries feeling threatened (e.g., textile workers, car manufacturers).
- Key question: Are fears about global competition justified, or are they about protecting vested interests?

Trading Patterns

World trade in goods and services (imports plus exports), % of GDP



Source: series [NE.TRD.GNFS.ZS](#) (World Bank)

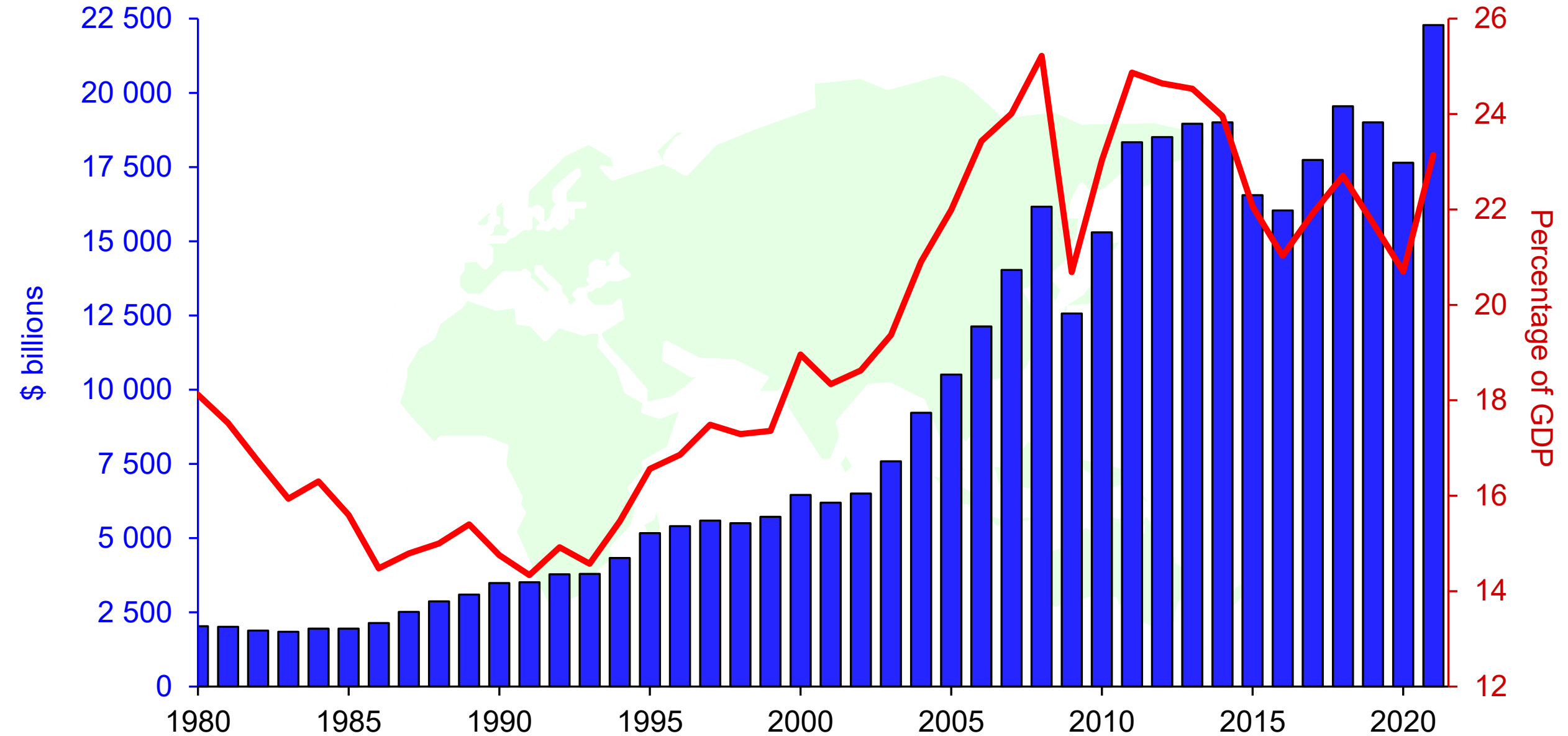
The Growth of International Trade

- International trade (as a % of world GDP) rose from 25% in 1960 to 60% by 2007.
- Growth driven by trade liberalisation and oversight by the World Trade Organization.
- Increased interdependence has made countries more vulnerable to global shocks (e.g., 2008 financial crisis, Covid-19).
- Trade dropped:
 - 2.1% (2008–2009)
 - 18% (2019–2020)
- Recent events (Trump-era protectionism, Covid, Ukraine war) have cast doubt on future trade growth.

Trading Patterns

- The composition of international trade
 - trade in goods (merchandise trade)
 - Merchandise exports include:
 - Manufactured goods (70% of exports)
 - Fuels/mining products (20%)
 - Agricultural goods (10%)

World merchandise exports, \$bn and % of world GDP

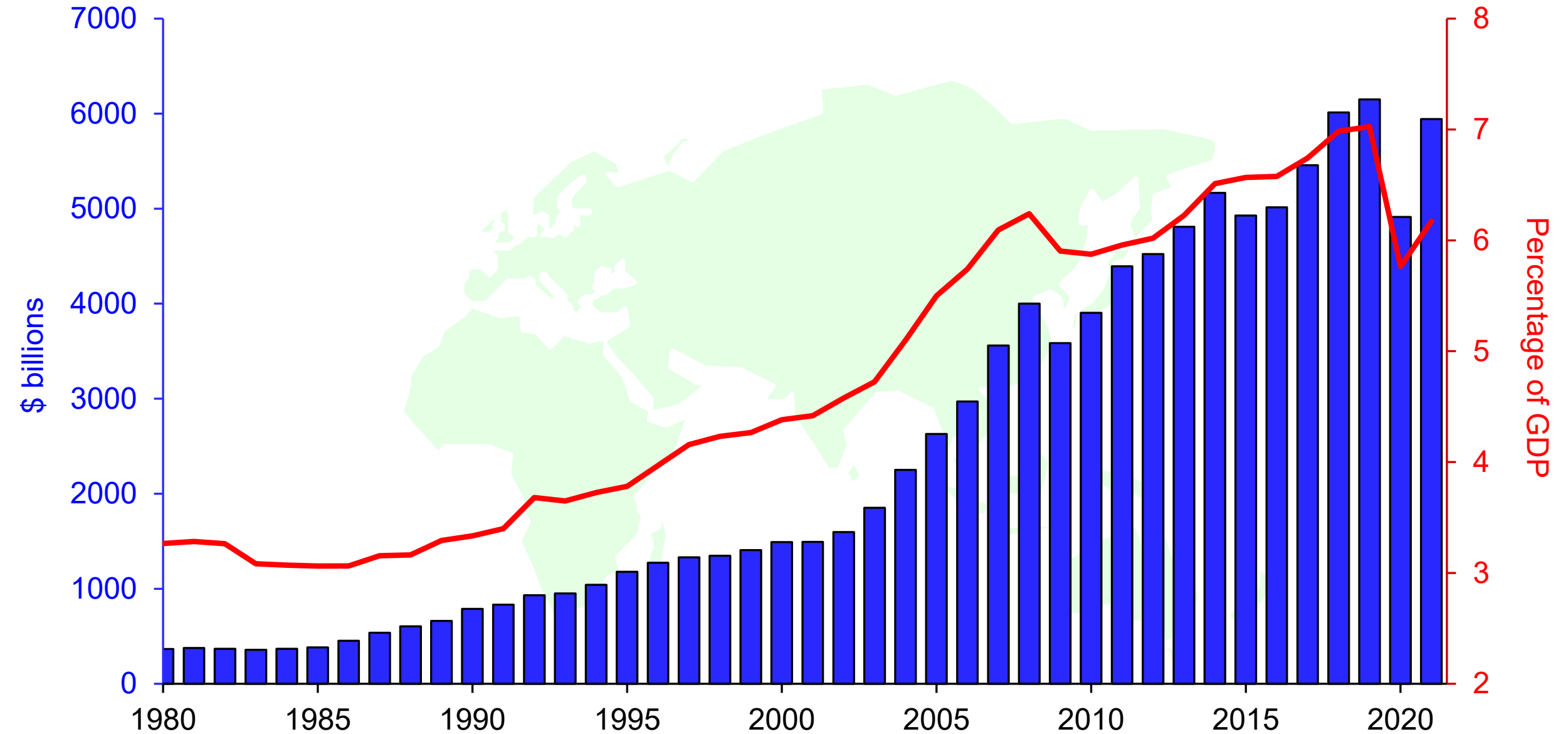


Sources: Merchandise exports data, [WTO Statistics Database](#), (WTO);
World GDP data, series [World Economic Outlook Database](#), (IMF, April 2022)

Trading Patterns

- The growth in international trade
- The composition of international trade
 - trade in goods (merchandise trade)
 - trade in services
 - **Commercial services** include:
 - Manufacturing services (e.g. refining, assembly)
 - Transport, construction, financial, insurance
 - Telecom, private health, education

World exports of commercial services, \$bn and % of world GDP

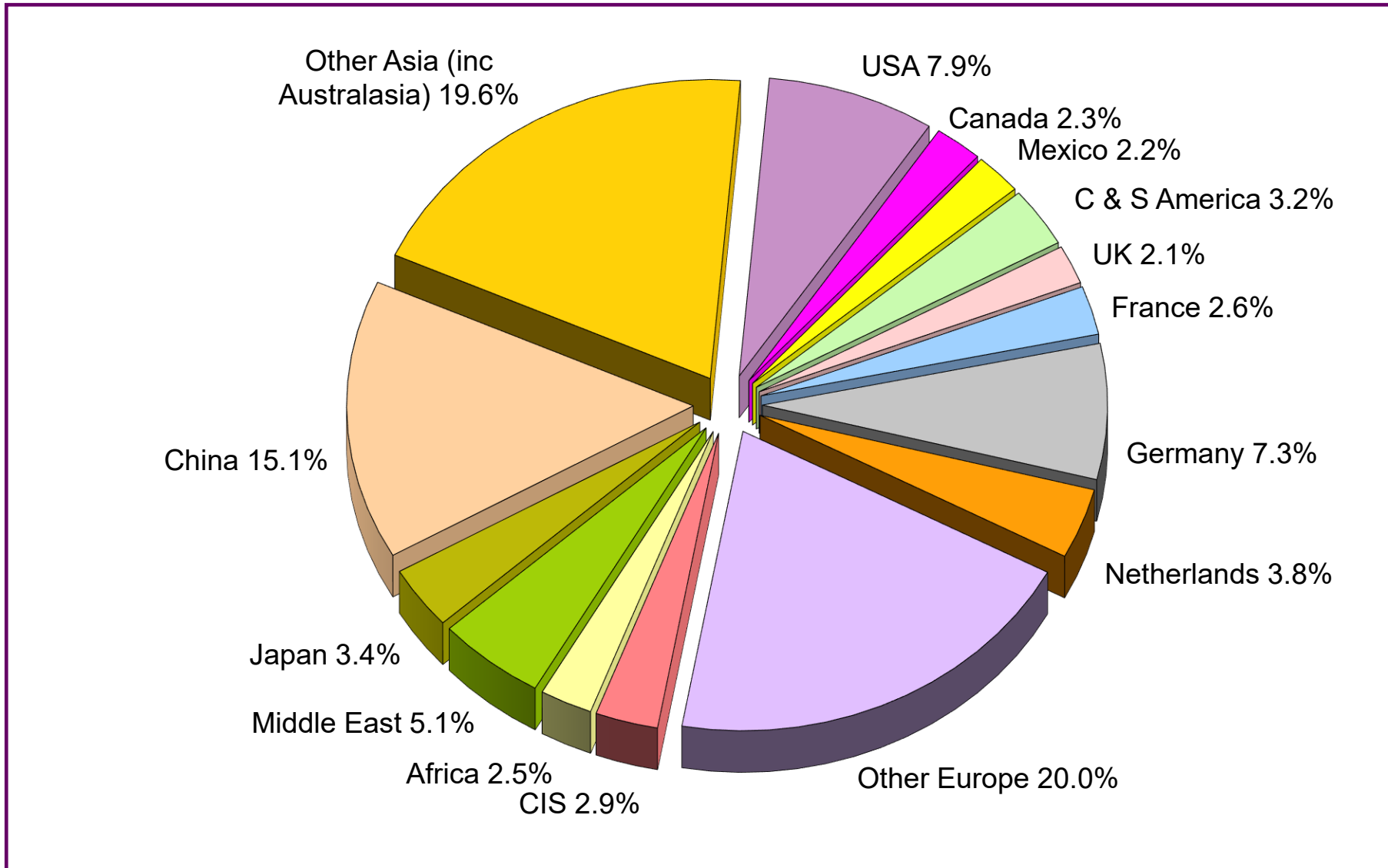


Sources: Commercial services data, [WTO Statistics Database](#), (WTO);
World GDP data series [World Economic Outlook Database](#) (IMF, April 2022)

Changing Geography of Trade

- The geography of international trade
 - regional trading patterns
 - major exporters and importers
 - Developed vs developing
 - BRICS
 - Mexico, Turkey, Indonesia, Cambodia and Vietnam

Share of world merchandise exports, by value (2021)

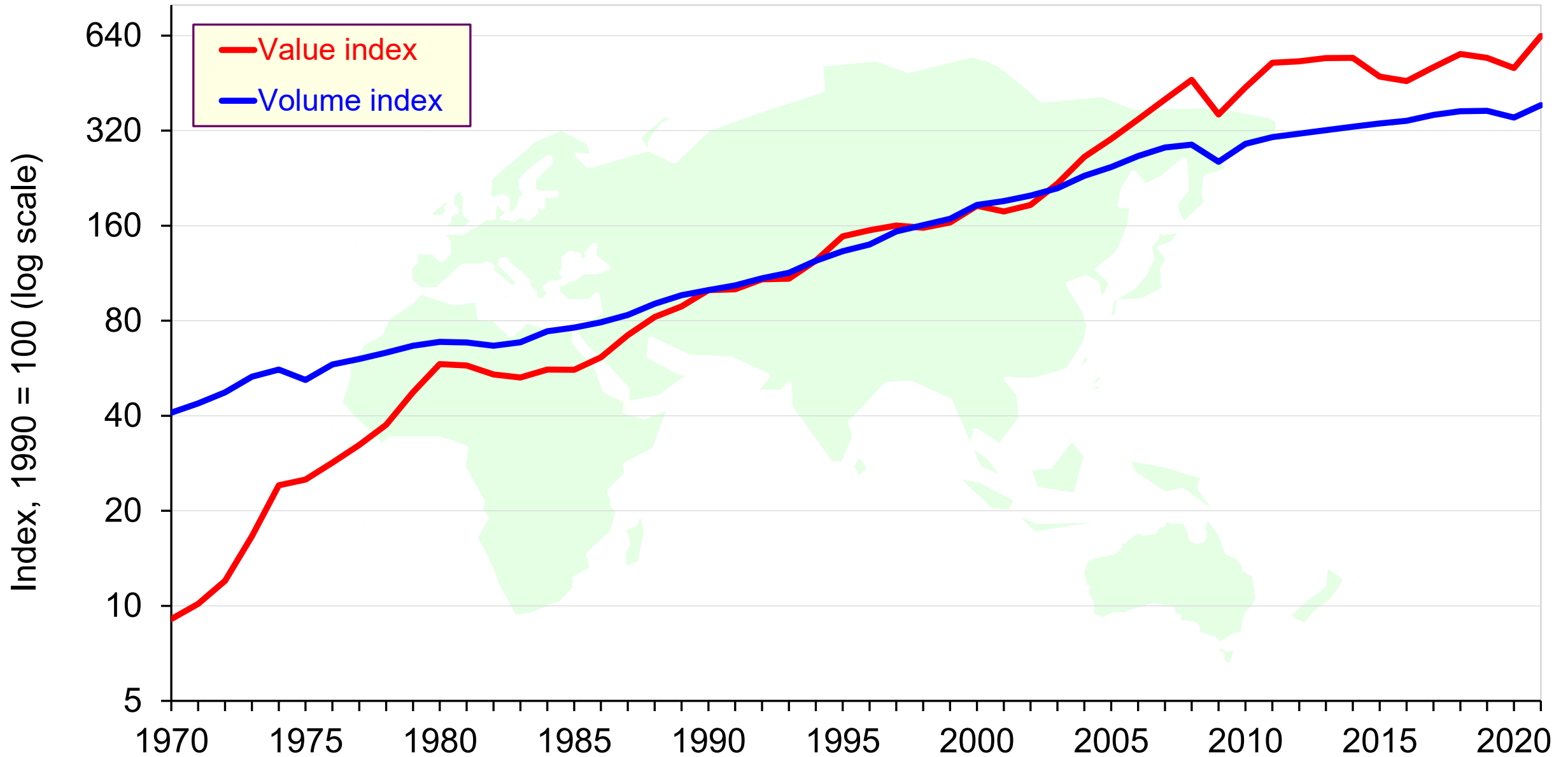


Source: Based on data in [WTO Stats](#) (WTO, 2022)

Measuring Trade Volumes

- Trade values affected by:
 - Prices
 - Exchange rates
 - Volumes traded
- Adjusting for price changes gives true volume trends

Growth in world merchandise exports by value and volume



Source: Based on data from [WTO merchandise trade indices annual dataset](#), (WTO)

The Advantages of Trade

Why Countries Trade – Specialisation

- Trade arises from specialisation
- Firms/countries focus on what they do best (due to:
 - Economies of scale
 - Skilled labour
 - Resource endowments
- They export surpluses and import what they lack
- Trade makes both parties better off

Comparative vs Absolute Advantage

- Absolute advantage: Producing goods with fewer resources
- Comparative advantage: Lower opportunity cost in producing a good

Even if one country is better at producing everything, trade can still benefit both if they specialise according to comparative advantage

Production possibilities for two countries

		Kilos of wheat		Metres of cloth
Less developed country	<i>Either</i>	2	<i>or</i>	1
Developed country	<i>Either</i>	4	<i>or</i>	8

Pre-trade exchange ratios

Less developed country:	2 wheat for 1 cloth
Developed country:	1 wheat for 2 cloth

International trade exchange ratios (LDC exports wheat: DC exports cloth)

Less developed country:	1 wheat for 1 cloth
Developed country:	1 wheat for 1 cloth

Gains from Trade

- Developed country: more efficient in both goods
- LDC has comparative advantage in wheat (lower opportunity cost)
- Developed country has comparative advantage in cloth
- By trading at a rate between their domestic exchange ratios (e.g., 1:1), both countries benefit
- LDC gives up less wheat to get cloth
- Developed country gives up less cloth to get wheat

Q A country has a comparative advantage in good X compared with good Y if it can produce:

- A. more X than Y in total.
- B. more X than Y for a given amount of resources.
- C. more X than other countries.
- D.

 more X relative to Y than other countries.
- E. X with less resources than other countries.

A country has a comparative advantage in good X compared with good Y if it can produce:



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A: This describes **absolute advantage**, not comparative advantage. A country can produce more of both goods but still not have a comparative advantage.

B: This relates to **absolute productivity** rather than opportunity cost.

C. Producing more does not mean a lower opportunity cost; it only shows **absolute production**.

E. This refers to **absolute efficiency** rather than relative opportunity cost.

D: Comparative advantage is about **relative efficiency**—how much of good X a country can produce **compared to Y, relative to other countries**. Even if a country is **less efficient overall**, it can still have a **comparative advantage** if it gives up less of good Y to produce X compared

Limits to Specialisation and Trade

- Complete specialisation is rare due to increasing opportunity costs.
- Resources used for specialisation may not be well-suited to the specialised product.
- As specialisation increases, the comparative advantage diminishes.
- Example: Germany does not fully specialise in manufacturing; it still produces food and timber.
- Opportunity cost rises if all resources are diverted from other productive uses.

Other Reasons for Gains from Trade

- Decreasing Costs & Economies of Scale
 - Trade allows production at a larger scale, especially useful for small countries.
 - Even without initial advantage, economies of scale can create comparative advantage.
- Differences in Demand
 - Trade helps match preferences (e.g., country A prefers beef, B prefers lamb).
 - Countries specialise in what they don't prefer and trade for what they do.

Other Reasons for Gains from Trade

- Increased Competition
 - Imports increase domestic efficiency and innovation.
 - Reduces monopoly power, lowers prices, and increases product variety.
- Trade as an 'Engine of Growth'
 - Rising global demand for exports boosts national economic growth.
 - Especially beneficial when goods have high income elasticity.
- Non-Economic Advantages
 - Trade strengthens political, cultural, and social ties between nations.

The terms of trade

- The terms of trade
 - $\text{average price of exports} / \text{average price of imports}$
 - improvements and deterioration in the terms of trade

The terms of trade

Base year= 100 (base year)

Subsequent Years:

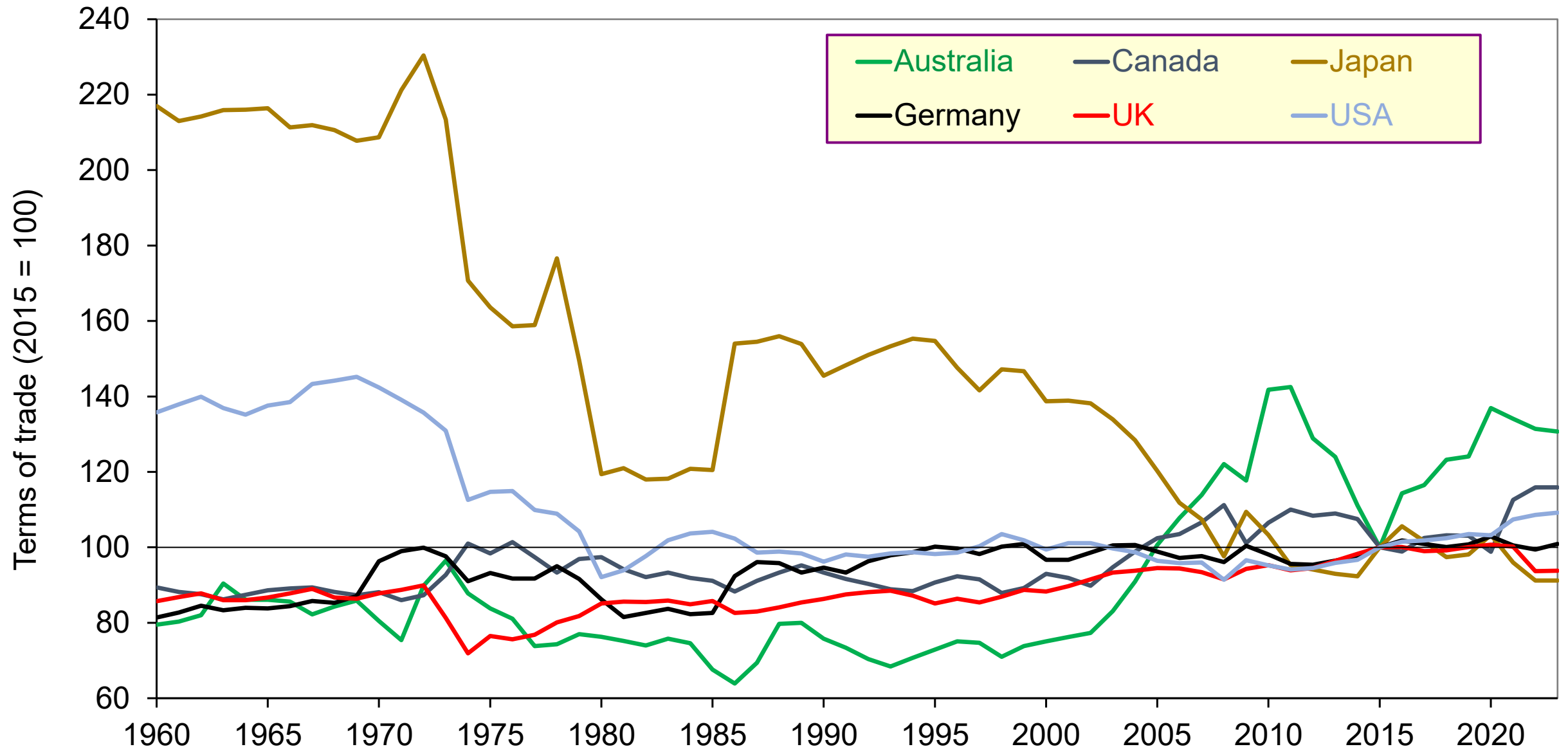
- Average export prices = 100
- Average import prices = 107
- $\text{ToT} = 100 / 107 \approx 93.45$

Another year:

- Average export prices = 115
- Average import prices = 110

$\text{ToT} = 115 / 110 \approx 104.55$

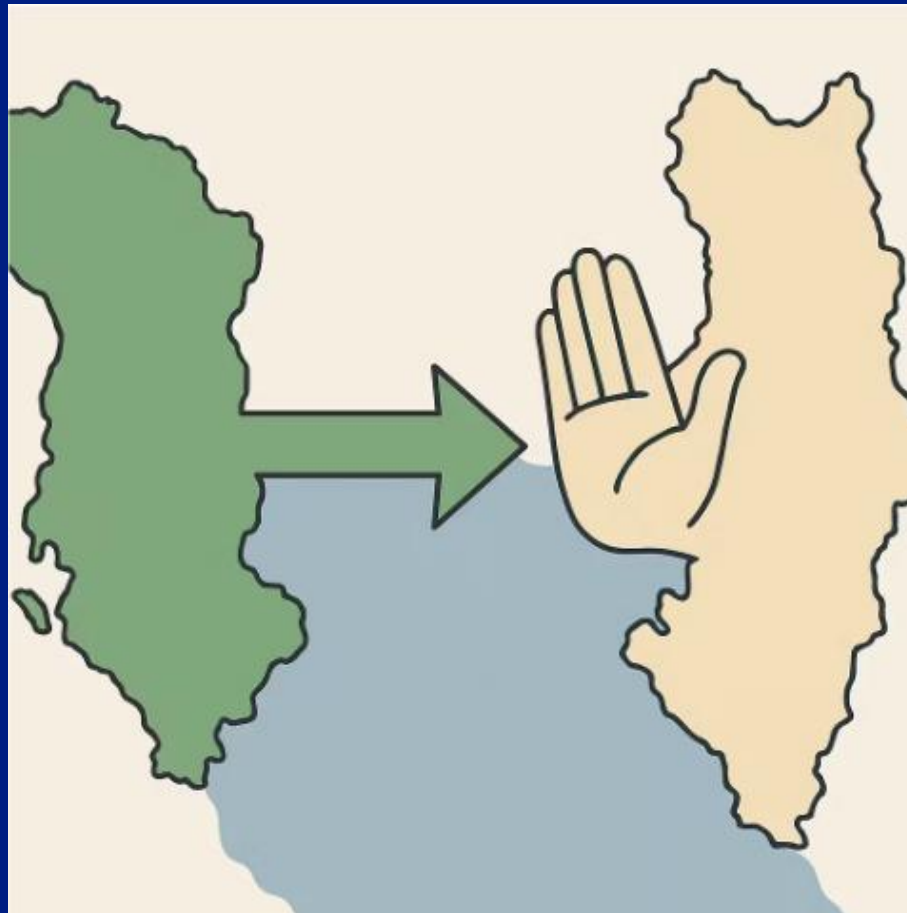
Terms of trade for goods and services (2015 = 100)



Note: Data from 2022 are based on forecasts

Source: Based on data in [AMECO Database](#), (European Commission, DGECFIN, May 2022)

Arguments for Restricting Trade



Methods of restricting trade

- **Tariffs:** Taxes on imports raise prices of foreign goods.
- **Quotas:** Limit quantity of goods that can be imported.
- **Subsidies:** Give domestic producers price advantages over imports.
- **Administrative Barriers:** Paperwork, customs delays discourage imports.
- **Government Preference:** Favouring domestic firms (e.g., defence contracts).
- **Dumping:** Selling exports at artificially low prices (with subsidies) to outcompete foreign producers.

Arguments for Restricting Trade

- **Infant Industry Argument:** New industries need protection to grow and achieve scale.
- **Senile Industry Argument:** Declining industries may need temporary support to recover.
- **Diversification:** Avoid over-dependence on low-growth or volatile sectors like primary goods.
- **Prevent Dumping:** Counter unfair foreign subsidies and price discrimination.
- **Avoid Foreign Monopolies:** Prevent dependency on one global producer post-domestic collapse.

Arguments for Restricting Trade

- **Strategic Trade Theory:** Protecting key industries can foster global competition.
- **Risk Management:** Avoid over-reliance on one export.
- **Consumer Influence:** Control cultural impact of multinational advertising.
- **Harmful Imports:** Ban goods that damage health, safety, or morality (e.g., drugs, live animals).
- **Externalities:** Account for environmental/social costs from trade (e.g., pollution, CO₂ emissions).

Specific Arguments for Trade Restrictions



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- Some trade restrictions benefit individual countries at others' expense, creating global net losses.
- **Market power argument:**
 - Countries with **monopsony** power (buyers) may restrict imports to lower prices.
 - Countries with **monopoly** power (sellers) may restrict exports to raise prices.
- **Declining industry protection:**
 - Temporary protection can soften the blow of industrial decline and reduce unemployment.

Specific Arguments for Trade Restrictions



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- **Non-economic motives for protection:**
 - Political (e.g., sanctions against Russia).
 - National security (self-sufficiency in food/arms).
 - Ethical/political disagreements with trading partners.
 - Preservation of traditional lifestyles.
- These measures come with **economic costs**, such as loss of consumer access to cheaper goods

Q Which of the following is NOT a valid economic argument for protection?

- A. To allow infant industries to survive foreign competition
- B. To allow senile industries a chance to make the necessary investment
- C.

 To keep declining industries going over the long term in order to safeguard jobs
- D. To prevent dumping by other countries from giving them an unfair advantage over domestic suppliers

Specific Arguments for Trade Restrictions

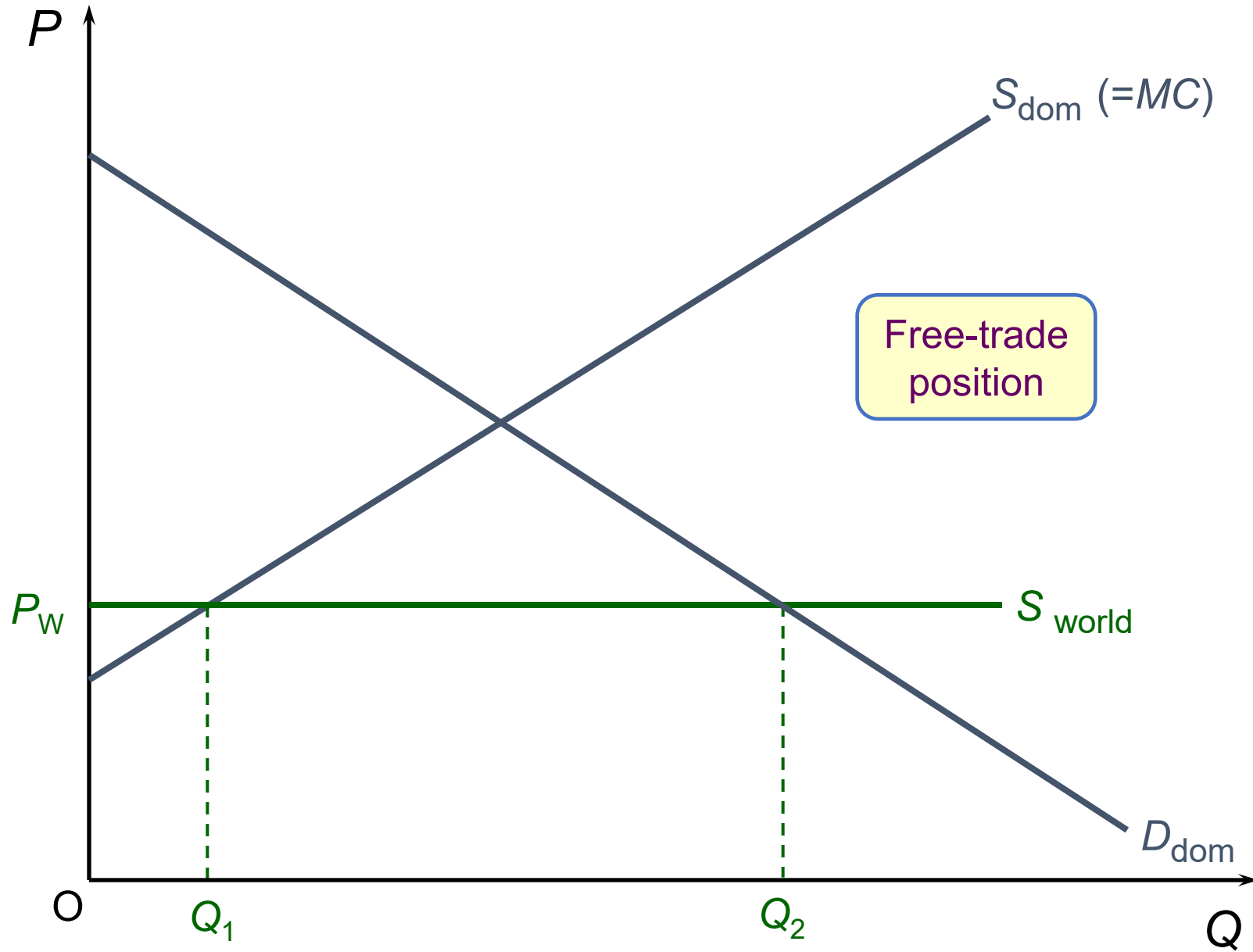


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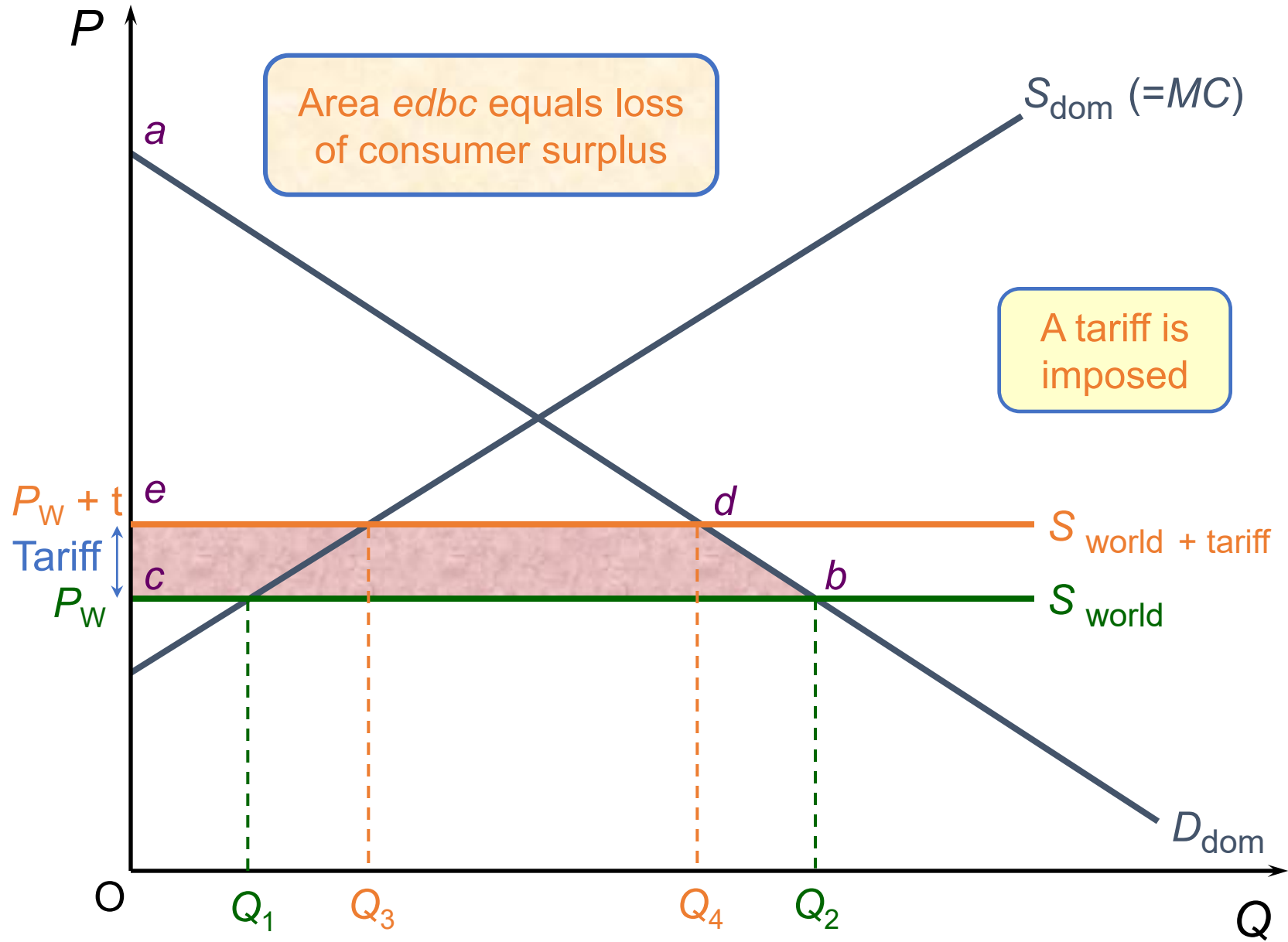
Option C is incorrect because protecting declining industries indefinitely leads to inefficiency and stagnation rather than economic growth:

- **Resources are misallocated** – Instead of shifting towards productive industries, resources (labour, capital) remain in inefficient sectors.
- **Consumers pay higher prices** – Protectionism often means higher prices for domestic consumers.
- **Lack of innovation** – If firms know they are protected, they have little incentive to innovate or become more efficient.
- **Retaliation risk** – Other countries may impose their own trade barriers in response.

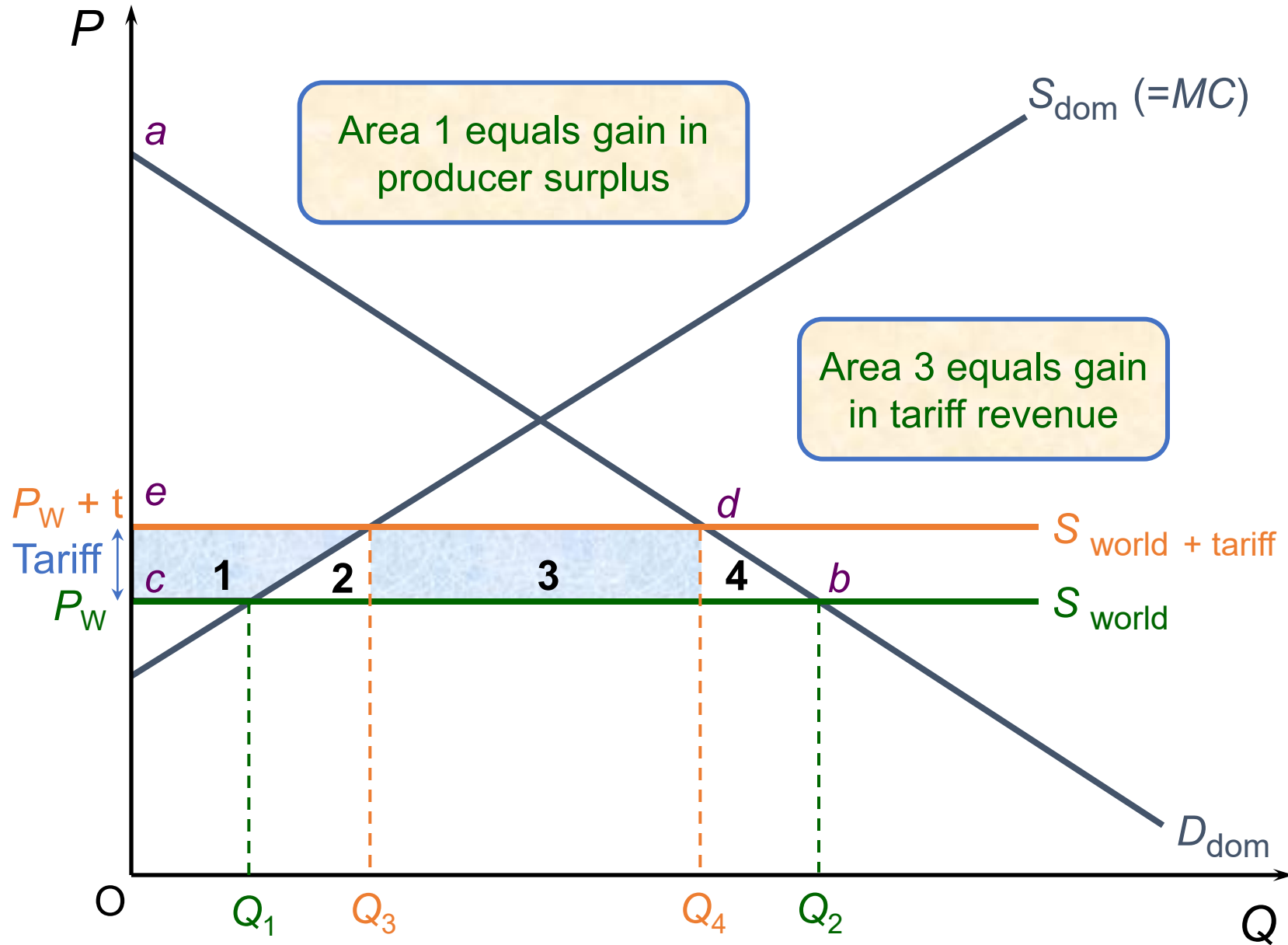
The cost of protection



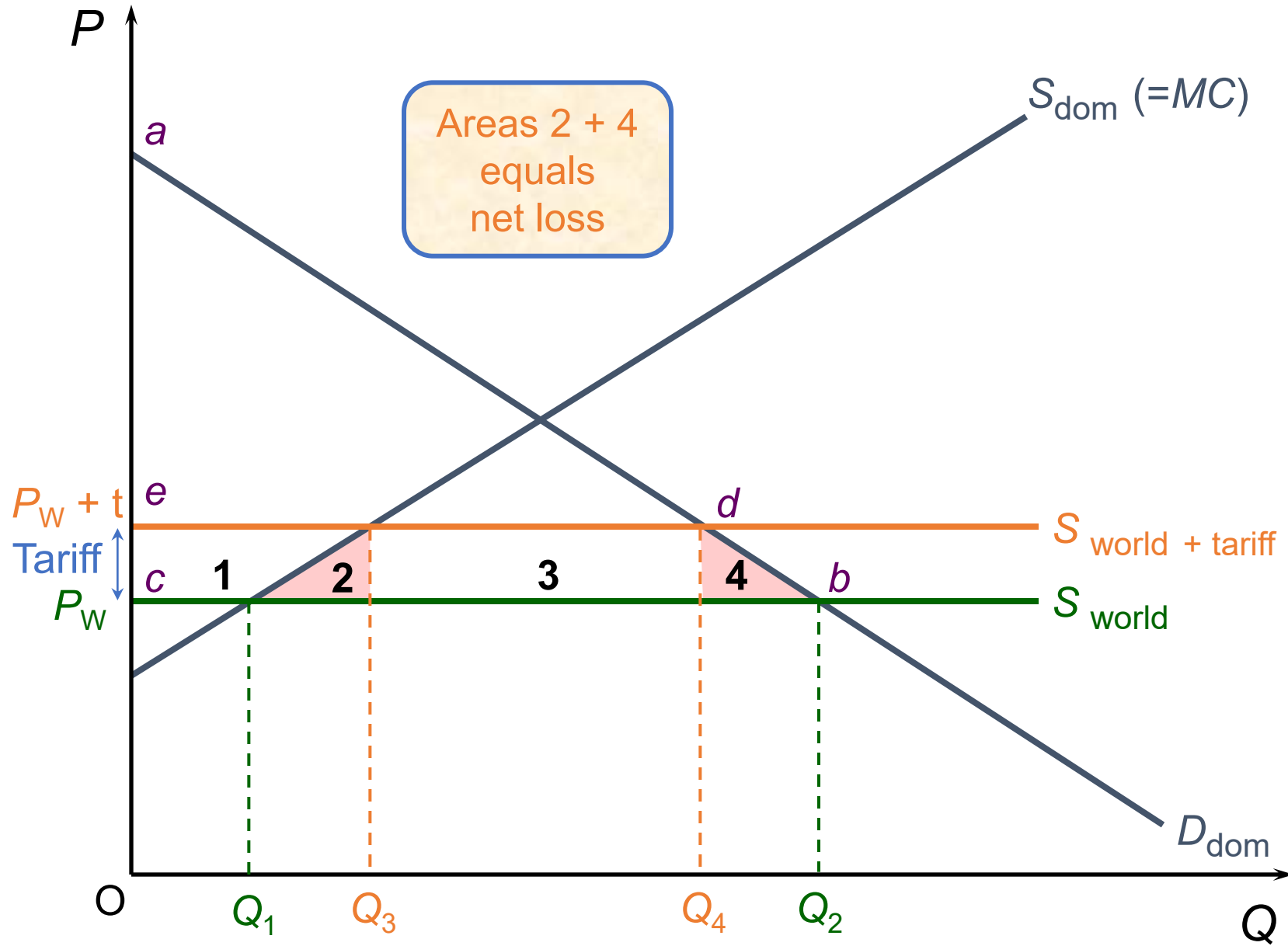
The cost of protection



The cost of protection



The cost of protection



Costs of Tariffs

- Tariffs raise consumer prices and reduce imports.
- Supply (S_{dom}) and demand (D_{dom}).
- With a world price (P_w), imports fill the gap between domestic supply (Q_1) and demand (Q_2).
- After a tariff:
 - Price rises to $P_w + t$.
 - Domestic supply increases to Q_3 .
 - Demand falls to Q_4 .
- **Consumer surplus falls.**

Welfare Impacts of Tariffs

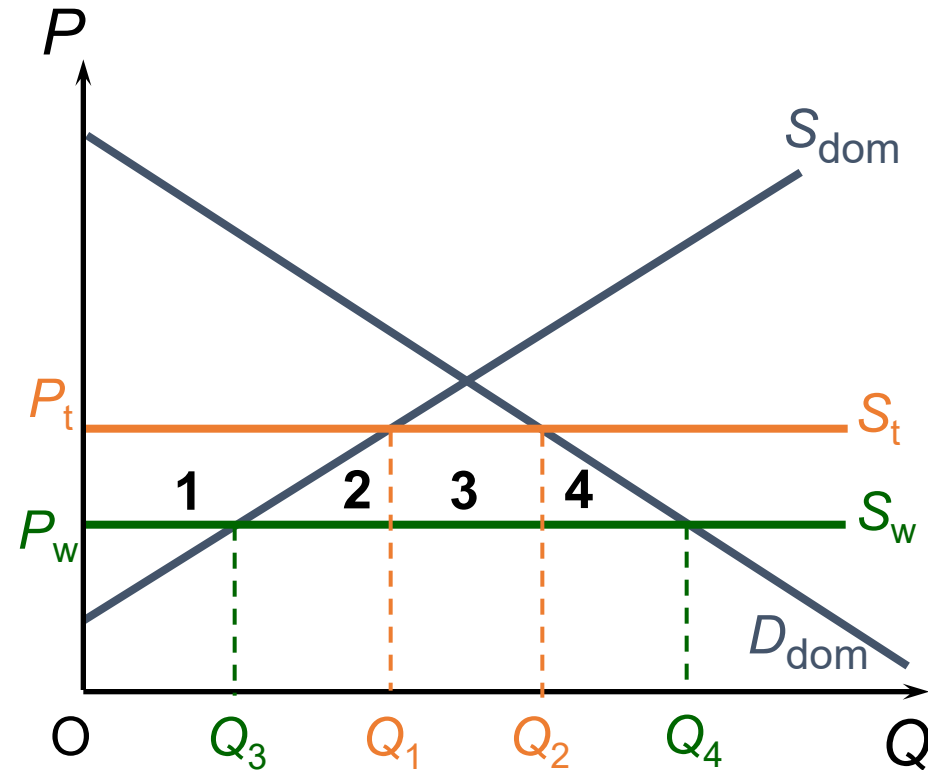
- Loss in consumer surplus = areas **1 + 2 + 3 + 4**.
- Redistribution:
 - **Area 1**: Extra producer profit.
 - **Area 3**: Government tariff revenue.
- **Areas 2 & 4: Net societal losses** (deadweight loss).

Breakdown of Net Costs

- **Area 2:** Efficiency loss—producing domestically at higher cost than importing.
- **Area 4:** Welfare loss from reduced consumption.
- Government should **weigh these costs** against potential benefits.
- Other issues with protection:
 - Reactions from other countries.
 - Global trade effects.

Q The diagram shows an importable good. Assume that a tariff on the good is abolished, so that the price of imports falls from P_t to P_w . What is the net efficiency gain to the country?

- A. Area 1
- B. Area 4
- C. Areas 1+3
- D. Areas 2+4
- E. Areas 1+2+3+4



Broader Problems with Protection

- Protection is often a **second-best** solution.
- Better alternatives may include:
 - **Subsidies** for retraining and investment.
- **Negative global effects:**
 - Reduced imports = other countries' reduced exports.
 - Lower global income and demand.
- **Retaliation risk:** Leads to trade wars and universal losses.
- **Reduced incentives** for domestic firms to innovate.
- **Administrative burden:** Risk of bureaucracy and corruption.

The World Trading System and the WTO

Historical Context & WTO

- Post-1929 crash: Great Depression worsened by protectionism.
- World trade dropped by over a third due to rising tariffs.
- Post-WWII: Movement towards trade liberalization.
- **GATT (1947) → WTO (1995)** with 164 members (by 2018).
- WTO principles:
 - Non-discrimination (MFN).
 - Reciprocity.
 - Ban on quotas.
 - Fair competition and binding tariffs.
- WTO can enforce rules and authorize retaliation.
- Example: 2018 US-China-EU tariff disputes escalated to WTO.

Q Under the WTO's 'most favoured nation' clause,

- A. exports from favoured nations will be subject to lower tariffs than from other nations.
- B. a country that receives a trade concession from another is then entitled to receive the same concession from all other signatories.
- C. countries can make specific deals with other countries provided they are agreed with the WTO.
- D.

 any trade concession that a country makes to one member must be granted to all members.

Trade Negotiation Rounds

- GATT/WTO rounds aim to reduce trade barriers.
- **Uruguay Round** (1986–1994): Major agreement with phased reductions to 2002.
- **Doha Round** (2001–ongoing):
 - Focused on fairer trade, developing countries, and environment.
 - Missed multiple deadlines; minimal progress in 2013 & 2015.
 - Declared "dead" by 2018.

Q Which of the following is NOT a WTO requirement of its members?

- A. The general prohibition of quotas
- B. Reciprocity of tariff reductions
- C. Not being able to raise existing tariffs without negotiating with their trading partners
- D.

 Extending the benefits of free-trade areas to non-members of those areas

Questions